

Waves of Neoliberalism: Revisiting Authoritarian Patterns of Capitalism in South America (1930–1960)

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1. Introduction

Scholars in history and political economy have studied Latin American neoliberalism by following the traditional narrative of the transfer of ideas based upon the ideal type of Chile's Chicago Boys (Foxley 1982; Valdés 1995; Clark 2017). According to this narrative, the Chilean experience was the first instance of Latin American neoliberalism, supporting a

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dictatorship and resembling the so-called Washington Consensus (Williamson 1990). It also suggests that there was only one unidirectional path for implementing free-market ideas and institutions in the region, from active foreign economists to passive domestic followers (Solchany 2015). Scholars looked to understand Peruvian neoliberalism based on such a narrative (Dancourt 1999; Klarén 2000; Durand 2003; Zapata 2016).

In contrast to previous literature, this article complements earlier efforts to historicize Peruvian neoliberalism before the 1973 Chilean experience (Adrianzén 2014, 2015; Ugarteche 2019, 2022). This work draws on transnational historical sources from scattered and previously unexplored archives outside of Peru to trace the history of domestic neoliberals in that country. Furthermore, it provides important evidence of the nonhierarchical connections between Peruvian self-identified neoliberals and their foreign counterparts, particularly at the Walter Lippmann Colloquium and the Mont Pèlerin Society, dating back to the late 1930s (Bailey 1965; Mirowski and Plehwe 2009; Plehwe, Slobodian, and Mirowski 2020; Slobodian and Plehwe 2022).

In challenging canonical interpretations, I present an alternative narrative of Peruvian neoliberalism.¹ Based on Fischer (2009) and Romero Sotelo (2016), I argue that the Peruvian neoliberal collective is one of the precursors of South American neoliberalism before the 1970s. These Peruvian thinkers influenced public opinion to advance free-market policies in Peru through political interventions and media outlets, by founding institutions and by directly devising economic policies. These elements are reflected in distinct episodes, referred to as waves of *neoliberalization*, which generate path-dependent effects on policy actions and economic ideas (Peck 2010; Setterfield 2015; Jessop 2019). Therefore, Peruvian neoliberals were worldly philosophers who drew inspiration from theoretical traditions while also developing free-market ideas from the ground up (Mirowski 1988; Heilbroner 1989).

In this article, I outline three waves of neoliberalization in Peru from the late 1930s to the early 1960s: (i) an account of the first mention of the

1. In this article, neoliberalism is understood as a doctrine that advocates for the maintenance of the price mechanism, private initiative, competition, and a “strong and impartial” state. Neoliberalism promotes austerity measures, including cuts in public expenditures, tax regressivity, and tight monetary policy, alongside social policies aimed at reproducing the labor force impoverished by economic competition. This set of principles encapsulates the political and economic agenda of neoliberals as historicized by Walpen (2004), Biebricher (2018), Reinhoudt and Audier (2018), and Schulz-Forberg (2019).

word *neoliberalism* in Peru titled “A First Neoliberal Transmission?,” (ii) a narration of the first South American dictatorship attempting a foreign exchange liberalization titled “Pro-Austerity Experience,” and (iii) a history of the Peruvian blueprint for neoliberal development titled “Neoliberal Developmentalism.” Throughout these three waves, I follow the evolution of three specific neoliberal topics: the reification of fiscal and monetary austerity as a synonym for good economic policy, the creation of a blueprint for development based on market principles, and the principle of *private initiative* as goal of economic policy.

2. A First Neoliberal Transmission?

2.1. Louis Baudin, the Socialism of the Incas, and the Peruvian Elites

On May 15, 1947, a journalist from the right-wing Peruvian newspaper *La Prensa* interviewed a French intellectual who used to be a frequent guest of the Bolívar Hotel in the Old Lima Downtown. Louis Baudin, an economist, lawyer, and ethnologist, arrived that year to offer a seminar at the recently founded Instituto Riva-Agüero of the Pontificia Universidad Católica del Perú. The interview shows a telling headline: “Louis Baudin nos Habló del Neoliberalismo, Nueva Corriente Ideológica en Formación” (“Louis Baudin Tells Us About Neoliberalism, a New Developing Ideology”) (*La Prensa*, May 16, 1947). That might be one of the oldest mentions of the term *neoliberalism* in the Peruvian public sphere.

One month before, a group of economists, lawyers, philosophers, and businessmen attended a meeting at the Hôtel du Parc in the village of Mont Pèlerin (Switzerland). The sessions celebrated at the Swiss village gave birth to the Mont Pèlerin Society, the thought collective that championed the spread of neoliberal ideas around the world. Baudin, who attended the Walter Lippmann Colloquium in Paris in 1938, would become the vice president of the society in 1958 (Reinhoudt and Audier 2018). Therefore, it is not an exaggeration to say that he was a foundational figure of neoliberalism when he arrived in Lima.

Baudin was a lawyer who graduated from the École des Sciences politiques (Sciences Po) and the University of Paris. In the 1920s, his publications aimed to study monetary theory, economic cycles, and the opposition between individualism and state intervention. During the 1930s, Baudin became a professor of political economy at the Faculty of Law and

Economics at Paris and a professor of industrial legislation at the Faculty of Law at Dijon. He was also president of the Société d'économie politique (1946–50). As an expert who worked at the League of Nations, Baudin published *Free Trade and Peace* (1939) and joined the Economists Council to assist the Fiscal Committee in the Enquiry on the Behaviour of Tax Systems with Ralph Hawtrey, Bertil Ohlin, and Oskar Morgenstern.²

The title that launched Baudin's career in South America and France was his 1928 book, *L'Empire socialiste des Inka (A Socialist Empire: The Incas of Peru)*.³ *L'Empire* is an economic history of the Incas in which Baudin applies supply and demand analysis to explain the structural and political conditions of ancient Peru based on contemporary ethnological and previous historical work of authors like Garcilaso de la Vega and Prescott.⁴ The book fascinated Peruvian elites because of its criticisms of land reform, a redistributive policy inspired by the agrarian communism of the Incas according to its proponents.⁵ Representatives of the Peruvian intellectual elite found in *L'Empire* a reference to demonstrate the impossibility of such an institution (Urteaga 1929; Baudin 1930). Additionally, Baudin's ideas echoed a paternalistic and gradualist model of modernization claiming the necessity to expand education and urbanization

2. See League of Nations Archives, C.3.1939. The archives are in Geneva and have been fully digitized.

3. *L'Empire* was the fifth volume of the series Travaux et mémoires de l'Institut d'Ethnologie at the University of Paris. The book was based on Baudin's publications in 1927: "Les communautés agraires du Pérou précolombien" ("The Agrarian Communities of Pre-Columbian Peru"), "La formation de l'élite dans l'Empire des Incas" ("The Education of Elites During the Inca's Empire"), and "Une expérience socialiste, le Pérou des Incas" ("A Socialist Experience, the Inca's Peru"). Leduc (1965) calls *L'Empire* the first prominent study by Baudin, and Lévi-Strauss (1962) praised it as the only long work on the Incas written in the French language by 1962.

4. *L'Empire* was published in English in 1961. The Foundation of Economic Education financed that English translation. A previous translation in Spanish was published in 1943 by the Chilean Zig Zag S.A. See also Baudin (1947a), in which Baudin includes two chapters about the *Indigenista* movement and the relationship of the Inca's socialism to the utopias of the Renaissance, respectively.

5. See Ugarte (1922) 1939 and Mariátegui (1928) 1979. These authors discussed the communist character of the Indigenous communities, a topic that dates to the nineteenth century. According to Garcia 2019, Marx (1859) 1977 argued that the Incas achieved a highly developed social structure (with a division of labor) without engaging in individual exchange or using money. Later, Marx referred to the primitive communism of the Incas in *Capital*. This interpretation was echoed by Cunow 1896 and Luxembourg ([1925] 2004), who characterized the Inca Empire as a model of primitive communism based on the *ayllu*, a pre-Incan cooperative social structure comparable to the primitive form of collective land ownership found in the German *Mark* system.

programs for “civilizing” indigenous peoples (Belaunde 1908, 1931; Riva-Agüero 1937).

As a consequence, the founder and director of the Instituto Riva-Agüero, the philosopher and politician Víctor Andrés Belaunde, who also belonged to the Société d'économie politique, invited Baudin to give the first conferences at the new institute.⁶ On May 19, 1947, Baudin gave a lecture about social elites after he was introduced by economist Rómulo Ferrero, another Peruvian member of the Société d'économie politique (Baudin 1943).⁷ During the talk, Baudin drew on Pareto's theory of elites to acknowledge the personal superiority of elites, who he believed were oriented toward the “common good,” in contrast to the masses. Baudin asserted that only elites should be responsible for managing economic policy.⁸ His ideas resonated with the technocrats attending the lecture owing to their association with Bartolomé Herrera's concept of the “aristocracy of knowledge” (Gleason 1981). Baudin was invited to participate in designing the economics seminar of the institute.⁹

2.2. Peruvian Capitalism Meets Neoliberalism

On May 21, 1947, Baudin gave a lecture titled “El conflicto contemporáneo de las doctrinas económicas” (“The Contemporary Conflict Among Economic Doctrines”).¹⁰ This probably was the first time that an academic audience heard about neoliberalism in Peru. During the conference, Baudin informed the audience that the birth of neoliberalism occurred during the Walter Lippmann Colloquium in August 1938. He emphasized the roles of neoliberals such as von Mises and Hayek in attacking socialism for its incompatibility with economic development. He argued that socialism was incapable of replacing the price mechanism

6. Letters from Baudin to Belaunde, Dec. 22, 1939; July 22, 1945; and Nov. 23, 1945, Colección V. A. Belaunde, Serie Epistolario, Archivo Histórico Riva-Agüero, Instituto Riva-Agüero, PUCP. Attached to the letter of 1939, Baudin sent to Belaunde a copy of one of his talks about the French economy and a copy of his recently published treatise, *La monnaie et la formation des prix* (1936).

7. Baudin's position about elites can be found in Baudin 1943, 1947b.

8. See *El Comercio*, May 20, 1947.

9. Letter from de la Puente Candamo to Belaunde, May 20, 1947, Colección V. A. Belaunde, Serie Epistolario, Archivo Histórico Riva-Agüero, Instituto Riva-Agüero, PUCP.

10. The other three lectures in Spanish were titled (i) “Dinero y su poder adquisitivo” (“Money and Its Purchasing Power”), (ii) “Las reducciones del Paraguay” (“The Reductions of Paraguay”), and (iii) “El ahorro y las nacionalizaciones” (“Savings and Nationalizations”).

with alternative forms of calculation. In that sense, Baudin (1947b: 15) claimed that neoliberalism would restore a price system that aligns with a more complex economy and achieves higher levels of well-being. According to him, neoliberalism was not an antistate doctrine. To maintain labor discipline, Baudin claimed that under neoliberalism the state should enforce policies to reinsert unemployed and impoverished workers into the market system again (16).

Strikingly, Baudin's ideas mirrored the policy views that had been debated within the Peruvian public sphere prior to his visit. By 1945, neoliberal intellectuals were challenging the government and advocating for the establishment of a free-market order to address the adverse effects of the postwar period: high inflation, increased public debt, and lack of reserves. In columns and articles published in the newspaper *La Prensa*, leaders from the agriculture and mining industries criticized the exchange rate and price controls implemented by the Peruvian government after joining the IMF. They called for the removal of these controls and the imposition of devaluation, a measure that would benefit exporters while raising the prices of imported goods consumed by workers.

On September 6, 1946, *La Prensa* invoked the quantity theory of money to criticize the Bretton Woods agreements for inducing a loss of exchange reserves. An editorial described the excess of national liquidity in Peru as both a consequence and a cause of rising inflation.¹¹ On December 21, *La Prensa* published the statement “La situación económica del país” (“The Economic Situation of the Nation”) signed by CONACO (National Committee for Commerce and Production).¹² The business association diagnosed as causes of the crisis the rising import prices, the excess of national currency, the high fiscal deficit, and elevated labor costs.¹³ These austerity ideas (Mattei 2022) were later popularized during

11. See “Las interpelaciones al Ministro de Hacienda” (“Interpellations to the Minister of Finance”) and “Fondo Monetario Internacional: por qué sería absorbido ‘Nuestro Oro Intangible’” (“International Monetary Fund: Why ‘Our Intangible Gold’ Would Be Absorbed”) in *La Prensa*, Sept. 6, 1946.

12. CONACO was born on October 23, 1945, as a response of businessmen to the negative effects of the postwar period (*Expreso*, Oct. 23, 1966). It was a private committee integrated by the heads of main Peruvian business associations: the Sociedad Nacional Agraria (National Agriculture Association), the Sociedad Nacional de Minería (National Mining Association), the Asociación de Ganaderos del Perú (Peruvian Cattlemen Association), the Cámara de Comercio de Lima (Chamber of Commerce of Lima), and the Sociedad Nacional de Industrias (Industries National Association).

13. See *La Prensa*, Dec. 21, 1946.

the subsequent wave of neoliberalization, marking a first attempt of neoliberal technocrats to support a dictatorship in South America.

3. Pro-Austerity Experience

3.1. An Introduction to Pedro Beltrán and Rómulo Ferrero

The animosity toward price controls and income policies was a defining intellectual characteristic of Peruvian neoliberal technocrats in the late 1940s who actively participated in the debate surrounding foreign exchange liberalization and fiscal austerity policies during this period in Peru. Beltrán was a prominent figure in South American politics and one of the first Peruvian economists trained in the UK. In 1918, he obtained a degree in economics from the London School of Economics (LSE).¹⁴ During that time, he was particularly attracted to the lectures of liberal and conservative economists such as Edwin Cannan, Lilian Tomn Knowles, and H. S. Foxwell and social science scholars such as Graham Wallas.¹⁵ In January 1938, Beltrán began an MSc in economics at LSE, where he became friends with David Rockefeller; however, he left after the first term.¹⁶ He was also a capitalist who invested in cotton and sugar exports and ventured into oil extraction (Thorp 1974).

A prominent Peruvian economist, Beltrán was appointed vice president (1929–33) and president (1949–50) of the Banco Central de Reserva del Perú. In 1927–34, he was the head of the Sociedad Nacional Agraria (National Agricultural Society), the Peruvian business association representing agricultural exporters. Later, Beltrán assumed the role of ambassador to the United States (1944–45) and became the head of the Peruvian

14. See Pedro Beltrán, student dossier 1914–1918, Library Archives, London School of Economics. Edwin Cannan, who discovered and edited Adam Smith's *Lectures on Jurisprudence*, was Beltrán's professor for Elements of Economics and Economic Theory. Conservative Lilian T. Knowles was Beltrán's professor for Economic History of England. H. S. Foxwell, Beltrán's professor of finance, was a supporter of austerity measures during the beginning of the twentieth century. Finally, Graham Wallas, lifelong friend of Walter Lippmann, was Beltrán's professor for Central Government. See also Hayek 1946.

15. Interview by Hilton of Beltrán, Hilton (Ronald): Audiovisual File 1929–2003, box 13, Hoover Institution, Stanford University.

16. Beltrán's LSE student dossier shows that he applied for the MSc in economics at the London School of Economics in 1937 to research money and banking under the supervision of Philip Barrett Whale, PhD adviser of Nobel Prize winner Leonid Hurwicz. According to Rockefeller (2003: 85), Beltrán gave up his studies in July 1938 because of business reasons.

delegation at Bretton Woods (Schuler and Rosenberg 2012). Finally, he was editor and co-owner with the sugar planters Augusto and Guillermo Gildemeister of the newspaper *La Prensa* (1934–76).

As a public intellectual, Beltrán championed the discussion on tax cuts and foreign exchange rate stability. Beltrán's agenda coupled reduction of taxation with stability of the foreign exchange rate, two important conditions to preserve profits of Peruvian exporters. He argued against taxes on raw materials exports, stating that they would provide more resources to the state, and ultimately lead to fiscal deficits (Beltrán 1920). In his reasoning, increased revenues would support higher fiscal expenditure, a practice encouraged by the Peruvian government at that time. Beltrán considered such a tax on exports to be functional only when prices of commodities are high, production costs remain low, and the nation holds a monopoly on agricultural goods. In addressing exchange rate instability, Beltrán emphasized that this issue would ultimately be resolved by reducing workers' incomes and implementing fiscal austerity: "An alteration of the foreign exchange rate brings multiple injustices . . . that would only bring deficits that could be solved by reducing wages and constraining general expenditures" (Sociedad Nacional Agraria 1928: 60–61).

On the other hand, Beltrán's monetary thought appeared as a symbiosis of his studies at LSE and his experience with policymaking at the Sociedad Nacional Agraria, the Banco Central de Reserva del Perú, and Bretton Woods. In the *Reporte Anual, 1927–1928* (*Annual Report, 1927–1928*) of the Sociedad Nacional Agraria, Beltrán stated that the primary concern of the banking system and the *general public* was the stabilization of the foreign exchange rate, which mirrored the protection of the purchasing power of the national currency under the gold standard.¹⁷ Close to the Great Depression, Beltrán reminded his audience that "world price levels rely on gold. . . . If the foreign exchange rate is artificially modified in Peru, such a harmony will be destroyed" (Sociedad Nacional Agraria 1928: 59). In his thinking, Beltrán followed H. S. Foxwell's definition of inflation as the depreciation of domestic currency with regard to gold in the context of the gold standard (Foxwell 1917: 268).

Beltrán's perspective on central bank independence was also shaped by his experience on the ground. As director of the Banco Central de Reserva

17. *General public* echoed H. S. Foxwell's term *national economy*. Like other British historical economists, Foxwell obscured class struggle by using this term and criticized laissez-faire antistatism, which neoliberals at the Walter Lippmann Colloquium contended failed to grasp the organic relationship between the state and society (Green 1996: 149, 157–58).

del Perú in 1929, Beltrán disagreed with modifying the Banco Central's Organic Law and impeded the institution from bailing out the government based on the idea that such a monetary expansion would be inflationary. Additionally, Beltrán opposed the implementation of exchange controls to stabilize the currency during the Great Depression.¹⁸ As interim president of the Banco Central de Reserva del Perú after its refounding in September 1931, Beltrán blocked the government's attempt to use resources from the Banco Central and pay foreign debt.¹⁹ In 1945, he denounced another attempt to change Banco Central's Organic Law, suggesting that the central bank should issue treasury bills only to finance fiscal deficits.²⁰

At Bretton Woods, Beltrán advocated for free trade, arguing that it would be advantageous for small capitalist economies like Peru and ultimately beneficial to raw material exporters.²¹ During the conference, he presented a proposal for a conference on commercial policy "to make recommendations for the achievement of greater freedom of commerce and for the orderly marketing of staple products . . . to promote the fuller employment of the nations' resources both of men and materials."²² Beltrán's agenda competed with the interests of Americans who reinstated tariffs for Latin American imports. Before the American Institute of

18. See Minutes of the Board of Governors, Jan. 14, Jan. 25, Feb. 22, and Mar. 20, 1930, Banco Central de Reserva del Perú-BCRP.

19. See *Actas del Directorio*, Sept. 4 and 11, 1931, Banco Central de Reserva del Perú-BCRP. According to the Banco Central de Reserva del Perú's minutes, the governors of the bank were concerned with the circulation of alternative stabilization programs among the Peruvian newspapers and "non-specialized" ideas that would ultimately increase risk and uncertainty in the economy. In this context, Beltrán offered contacting the newspapers to limit the circulation of such policy ideas.

20. See *La Prensa*, Nov. 23, 1945. Beltrán signed with the pseudonym of Mercator.

21. See *La Prensa*, July 3, 1944.

22. According to Aaron Broches, Dutch delegate at Bretton Woods and member of Drafting Committee 4 at Commission I on the IMF, the Peruvian delegation was part of the conservative bloc along with Canada, the UK, the Netherlands, and Belgium (Lewis, Webb, and Kapur 1990: 2). At Bretton Woods, Commission III oversaw Other Means of International Financial Cooperation. The proposal was presented by Beltrán on July 3, 1944, and was referred to Committee 3 On Recommendations on Economic and Financial Policy, the Exchange of Information and Other Means of Financial Cooperation (US Department of the State 1945a: 332–33). The request succeeded, and the recommendation appeared in the Final Draft Resolution submitted by the committee. Yet, the delegations of Peru and Bolivia insisted on changing the wording of the document (731). When the Final Draft Resolution was read before the entire Commission III, Manuel B. Llosa, a Peruvian delegate and mining investor who replaced Beltrán as chair of Committee 4, expressed dissatisfaction, as Beltrán's petition had not been fully incorporated (US Department of the State 1945b: 1205).

Banking of New York on December 12, 1944, Beltrán declared that lower trade barriers would bring a reduction of internal price levels of highly developed countries and an improvement in the welfare of their citizens “because with the same amount of money they will then be able to buy more things” (*New York Times*, Dec. 13, 1944). He urged the American government to levy only the lightest duties on imports coming from Latin America, so hemispheric cooperation would be preserved, a globalist logic echoing neoliberals from the Walter Lippmann Colloquium like Baudin (1939). For Beltrán (1945: A5452), “Trade, in the long run, is nothing but barter carried on a money basis, for we pay for what we buy abroad with the goods that we sell to other countries. If we are unable to sell to you [the United States], and our customers are not in a position to allow us to buy dollars with the proceeds of our sales to them, then we will be unable also to buy in this market.”

In contrast to Beltrán, Rómulo Ferrero, of Italian descent, was educated within the Peruvian academic system. He earned a bachelor’s degree in agricultural engineering from the National School of Agriculture and Veterinary (1929) and a PhD in economics from Pontificia Universidad Católica del Perú (1940). Until the first half of the 1930s, his scientific work focused on agricultural matters. His contributions mirrored the concerns of the capitalist class, whose interests rely upon the performance of the agricultural industry. At the beginning of the postwar period, Ferrero’s intellectual production turned to macroeconomics, international trade, and economic development. He was a professor of agricultural economics, as well as of monetary and banking economics, and became the dean of economics at the Pontificia Universidad Católica del Perú (1942–48). In 1962, he founded the Universidad del Pacífico, a private school that specialized in business and economics and whose members promoted neoliberal ideas.²³

Fiscal austerity and market ideas appealed to Ferrero through his academic transition from agricultural economics to macroeconomics. His

23. In 1979, the Universidad del Pacífico (UP) hosted a lecture by Friedrich Hayek, who participated in the first symposium organized by the Instituto Libertad y Democracia (Instituto Libertad y Democracia 1981). In the 1980s, faculty of UP supported the social market economy program of the Christian People’s Party (Schuldt 1980). In the 1990s, UP gave important support to the structural reforms and austerity policies implemented during Alberto Fujimori’s dictatorship (Abusada et al. 2000). UP faculty member Carlos Boloña became minister of finance and prime minister during Fujimori’s regime. In 1992, Boloña founded the Instituto de Economía de Libre Mercado, which edited the collected works of Pedro Beltrán and Rómulo Ferrero under the supervision of *La Prensa*’s former editor, Arturo Salazar Larraín.

initial works responded to the effects of World War II in Peru. In June 1940, Ferrero warned about the risks that import controls imposed by trade partners and the decrease in agricultural prices represented for national currency stability and the balance of payments. He noted there was “a close dependency between agricultural exports, the national currency and the general economy” (Ferrero 1940: 338). Ferrero suggested the government should “support producers . . . issuing guaranteed loans backed in production stocks, so they can fulfill their financial obligations” and “promote agricultural products abroad,” (338) although he opposed the import-substitution-industrialization model applied in Latin America during the 1930s and 1940s.

In response to the increase in state intervention during the postwar years, Ferrero argued that controls compromised monetary stability. As government intervention extended during World War II, he claimed that “today, the intervention of the state in economic activities is the rule. It is an acknowledged and accepted fact everywhere, even if there are differences in its intensity and scope” (Ferrero 1941: 49). Thus, Ferrero recommended free trade policies and exchange rate flexibility for small and open nonbelligerent economies like Peru. In “*Perspectivas económicas de la post-guerra*” (“Economic Perspectives on the Post-War Era”), Ferrero (1943b: 587) pointed out that productive forces of belligerent nations were absorbed by the war effort. Consequently, state control expanded over the main economic industries and perturbed the monetary system. Nonbelligerent nations such as Peru primarily suffered from import restrictions imposed by their trade partners, as well as rising import prices and a contraction in export markets (588).²⁴

Ferrero recommended targeting inflation alongside reducing the size of the state to ensure financial stability. Ferrero believed that increases in prices oppose international monetary stability. This meant steadying both the internal (general price level) and external (foreign exchange rate) values of national currency: “The stability of the domestic price level . . . is necessary . . . for reducing perturbances affecting the production of goods and services, and income and wealth distribution. . . . High variations of foreign exchange rates between different currencies cause trade

24. What happened in nonbelligerent nations was (1) a reallocation of agricultural production from external to domestic markets, (2) the acceleration of industrial development because of the reduction of capital inflows, and (3) the upsurge of logistical problems, because production and consumption cities could be geographically disconnected (Ferrero 1943b: 589).

insecurity, discourage investment inflows, constrain the mobility of goods and capital” (Ferrero 1943a: 237). For Ferrero (1943b: 590), “The higher State spending increases the fiscal budget, raises tax burdens and expands currency, so it contributes to impoverished living conditions.” He claimed that the state should “only constrain itself to allow the surveilled and limited development of free private initiative, and in most cases coordinate with and complement it” (596).

Ferrero intervened in policymaking to implement neoliberal economic ideas and attempt fiscal consolidation in Peru. Even though he criticized postwar interventionism and import-substitution-industrialization, Ferrero firmly believed in national economic policy. He insisted on matching fiscal policy to the reality of each country (Ferrero 1946: 19) and argued that austerity was the appropriate policy for 1940s Peru. On August 14, 1945, as the new minister of finance and commerce, Ferrero urged the Peruvian Senate to reduce government spending, which had been rising since the 1940s and which the Banco Central de Reserva del Perú financed with money issuances (*La Prensa*, Aug. 15, 1945). For Ferrero, both easy money and the absence of a market for public debt issuances produced inflation.²⁵ Ferrero resigned as minister in October 1945 because of continuous opposition of progressive senators.²⁶ In his article “La política fiscal futura” (“Future Fiscal Policy”), which was published in Ferrero 1946, he proposed the creation of a debt issuances market and the introduction of a fiscal rule for Peru according to William Beveridge’s ([1944] 1960) *Full Employment in a Free Society* (Ferrero 1946: 64).

3.2. Capitalist Dictatorship and the First Neoliberalization in South America

Ferrero’s resignation represented a setback for neoliberals advocating austerity and liberalization, prompting them to adopt alternative strategies. Beltrán used the newspaper *La Prensa* to publicly oppose price and exchange controls maintained since the beginning of 1945. As inflation worsened during 1946–47, his newspaper condemned the government for its failure to address the scarcity of meat and other basic commodities,

25. Ferrero explained the absence of a market for government bonds because of “low investor confidence,” issuances’ low returns, and a lack of effective promotion for public investment (Ferrero 1946: 34).

26. The political party opposing the neoliberal policies was the APRA (Alianza Popular Revolucionaria de América), an ally of the government (Portocarrero 1983).

which led to the emergence of black markets and resulting political violence (*Newsweek*, Mar. 15, 1948; Portocarrero 1983).²⁷

In this context, Peruvian neoliberals supported the first free-market dictatorship in the history of the Americas. Contrary to the historical narratives of Valdés (1995) and Harvey (2007), it was Peruvians—not Chileans—who were the neoliberal forerunners in Latin American economic history. In February 1948, Beltrán organized the Alianza Nacional (National Alliance), an electoral coalition that supported the military cabinet appointed by President Bustamante to stabilize the country.²⁸ In August, Bustamante nominated Ferrero as minister of finance again.²⁹ On September 6, 1948, succumbing to pressure from the International Monetary Fund (IMF), Ferrero implemented a multiple exchange rates system—a measure opposed by neoliberals but promoted by the IMF to stabilize balance of payments.³⁰ A witness from that time, rubber merchant Douglas H. Allen, stated that American and Peruvian businessmen, along with neoliberal economists, criticized the IMF for pressuring the Peruvian government to implement the measure.³¹ In reaction, Ferrero and Beltrán publicly supported General Manuel Odría's coup on October 27, 1948. Immediately, Beltrán was appointed president of the Banco Central de Reserva del Perú and committed to lifting exchange controls and reducing money injections.³²

To convince the new military junta of his policy ideas, Beltrán relied on his business network in the United States and sought legitimacy among the transnational media. This process had started more than one month

27. See editorials by *La Prensa* during the years 1947–48. The newspaper prepared a special section publishing weekly surveys to households and interviews with “housewives” about the rising prices of meat and bread. Additionally, *La Prensa* denounced its rival, *El Comercio*, for promoting exchange controls. *La Prensa*'s opposition to exchange controls was curiously described as the “battle of the dollars” (*Time*, Dec. 6, 1948).

28. See *La Prensa*, Jan. 21 and Mar. 27, 1947.

29. See *Eugene Guard*, Aug. 27, 1948.

30. Minutes of the Peruvian Cabinet—José Luis Bustamante y Rivero (1945–1948), vol. 8, p. 111, Sept. 6, 1948, Biblioteca Central Pedro Zulen, UNMSM. The minutes state that “by suggestion of the Minister of Finance, the cabinet approved the Decree establishing modifications to the exchange control system, which had been consulted with the International Monetary Fund.” See also “Comunicado del Ministerio de Hacienda y Comercio” and “Decreto Supremo del 6 de setiembre de 1948” (Casa Nacional de Moneda 1949: 158–62, 165–71).

31. Letter from Allen to Clayton, Sept. 27, 1948, Henry Hazlitt Archives Beta version, box B04 Ki-Ph, Peru Correspondence 1948–49, Liberty Fund and Universidad Francisco Marroquín. Douglas H. Allen was board chairman of the Otis Astoria Corporation, New York.

32. See *La Prensa*, Mar. 22, 1949. Beltrán and *La Prensa* denounced the excessive issuances of the monetary supply by using the caricaturized term “la maquinita” (“tiny printer”).

before the coup, when American businessman William L. Clayton brought Pedro Beltrán to meet with IMF Executive Director Andrew N. Overby. Beltrán told Overby about the necessity to implement monetary devaluation rather than pursuing a multiple exchange rate scheme for Peru.³³ Beltrán invited an economic journalist, the *Newsweek* columnist, attendee of the Walter Lippmann Colloquium, and founding member of the Mont Pèlerin Society Henry Hazlitt, who had popularized Austrian economics in the United States (Milazzo 2023) and whose articles had been popularized by *La Prensa*.³⁴ Beltrán took care of Hazlitt's visit and introduced him to businessmen and economists in Peru.³⁵ After his visit, Hazlitt wrote two articles in *Newsweek* that promoted Beltrán's position: "Exchange Controls in Peru" (Dec. 6, 1948) and "Exchange Controls vs Peru" (Dec. 13, 1948).³⁶

Additionally, Beltrán sought institutional support and the backing of international experts to legitimize free convertibility.³⁷ In July 1949, he asked the American government to send a technical mission led by Julius Klein, head of the firm Klein-Saks Inc., which promoted liberalization reforms in other countries, including Chile between 1955 and 1957.³⁸ The Klein mission, whose achievements were actively covered by *La Prensa*, produced a report that was published in the main Peruvian newspapers on November 13, 1949, and that followed to the letter Beltrán's policy views.³⁹ Based on the Klein report, Odría passed

33. Letter from Allen to Overby, Sept. 28, 1948, Henry Hazlitt Archives Beta version, box B04 Ki-Ph, Peru Correspondence 1948–49, Liberty Fund and Universidad Francisco Marroquín. William L. Clayton was a cotton trader and served as US undersecretary of state for economic affairs during 1946–47. Andrew N. Overby was appointed executive director by the United States succeeding Harry D. White effective July 1, 1947 (International Monetary Fund 1948). Overby became chairman of the foreign investment committee of the Investment Bankers Association of America in the 1960s.

34. Letter from Hazlitt to Beltrán, Sept. 24, 1948, Henry Hazlitt Archives Beta version, box B01 A-Br, Pedro Beltrán 1948–1982, Liberty Fund and Universidad Francisco Marroquín. See also *La Prensa*, Oct. 10, 1947.

35. Letter from Beltrán to Hazlitt, October 8, 1948, Henry Hazlitt Archives Beta version, box B01 A-Br, Pedro Beltrán 1948–1982, Liberty Fund and Universidad Francisco Marroquín.

36. This is a topic that Hazlitt had covered in his *Newsweek* column since late 1947, beginning with the article 'The Myth of a Dollar Famine' (December 18, 1947). See Doolittle 2011: 105–8.

37. Letter from Beltrán to Hazlitt, July 24, 1949, Henry Hazlitt Archives Beta version, box B04 Ki-Ph, Peru Correspondence 1948–49, Liberty Fund and Universidad Francisco Marroquín.

38. See *La Prensa*, Nov. 11, 12, 14, and 15, 1949, and the *Semanario Peruano*, Nov. 14, 1949.

39. See letter from Allen to Hazlitt, Nov. 28, 1949, Henry Hazlitt Archives Beta version, box B04 Ki-Ph, Peru Correspondence 1948–49, Liberty Fund and Universidad Francisco Marroquín.

Decree-Law 11208 (Nov. 11, 1949) suppressing parity, price controls, and basic subsidies. Odría announced the decree as the “beginning of the great battle for the economic liberation of the country,” a new “economic and financial regime” (*La Prensa*, Nov. 18, 1949). Looking for media outlets, Beltrán sent a translated copy of the Decree-Law to Hazlitt and asked him to write another article about Peru.⁴⁰

3.3. The Mont Pèlerin Society Meets Peruvian Neoliberalism

To promote his achievements, Beltrán invited Ludwig von Mises to Peru. A founding member of the Mont Pèlerin Society and an attendee of the Walter Lippmann Colloquium, von Mises was visiting Latin America for the second time after his trip to Mexico (Romero Sotelo 2016). Contrary to Solchany’s (2015) claim that Latin American neoliberals passively received foreign ideas, Beltrán used this event to legitimize their policy ideas in Peru rather than to “learn” from von Mises, who actually praised the policies implemented by the Peruvian neoliberals.⁴¹ With Henry Hazlitt’s assistance, Beltrán arranged for von Mises to deliver a series of lectures, financed by the Banco Central de Reserva del Perú.⁴² Additionally, he aimed to persuade the hesitant Odría to maintain the recently implemented monetary policies.⁴³

Von Mises delivered his first lecture at the Banco Central on April 3, 1950, focusing on monetary stability, inflation control, and structuring policies to promote financial stability (*La Prensa*, Apr. 4, 1950). His second

40. Letter from Beltrán to Hazlitt, Nov. 16, 1949, Henry Hazlitt Archives Beta version, box B04 Ki–Ph, Peru Correspondence 1948–49, Liberty Fund and Universidad Francisco Marroquín.

41. See *La Prensa*, Apr. 5, 1950.

42. Letter from Hazlitt to Beltrán, Mar. 9, 1950, Henry Hazlitt Archives Beta version, box B01 A–Br, Pedro Beltrán 1948–1982, Liberty Fund and Universidad Francisco Marroquín. On April 1, 1950, *La Prensa* published a brief bio of von Mises. Then, on April 3, the newspaper published a notice of Beltrán talking about credit restrictions and the risk of deflation. Additionally, see the exchange between Beltrán and von Mises, Mar. 16, Mar. 23, 1950, in Von Mises Papers, series 1: General Correspondence, subseries 1, box 4, folder 10, items 1–2, Ludwig von Mises Archives, Grove City College. Other evidence about the close friendship between Beltrán and von Mises are the letters they exchanged by the time Beltrán was incarcerated by Odría during March–April 1956. See Von Mises Papers, Ludwig von Mises Archives, Grove City College.

43. In April 1950, Beltrán resigned from the central bank because his policy agenda was dismissed by Odría. In his letter of resignation, Beltrán urged the Board of Governors to “respect as a principle of all the acts of the Central Bank of Peru the maintenance of the stability of the national currency” (*La Prensa*, Apr. 8, 1950).

lecture, titled “Planes para la unificación económica” (“Plans for Economic Unification”), took place on April 13 at the auditorium of the San Marcos University Law School (Universidad Nacional Mayor de San Marcos 1950).

Through their international connections, Peru’s austerity measures from 1948 to 1950 and their advocates gained recognition among neoliberals abroad. *The Freeman*, a magazine cofounded by some members of the Mont Pèlerin Society, featured “Economic Miracle in Peru” by Oswaldo Buonnani, which credited Peru’s economic recovery to the abolition of exchange controls and adherence to fiscal austerity.⁴⁴ On January 25, 1954, *The Freeman* published “Peru’s Economic Comeback,” lauding Peru as a world-class example of the advantages of a free economy (High 1954).

Like Beltrán, Ferrero became an academic acquaintance of Ludwig von Mises. In a letter from May 1950, Ferrero introduced himself, expressing his appreciation for von Mises’s lecture at the Banco Central.⁴⁵ Through further correspondence, Ferrero shared his published works on monetary history and income taxation, establishing an ongoing intellectual exchange.⁴⁶ This connection led the Sponsoring Committee of the Institute for Humane Studies to invite Ferrero to contribute a chapter to *Towards Liberty: Essays in Honor of Ludwig von Mises* (Ferrero 1971).⁴⁷ This invitation served as further evidence of the recognition of Latin American neoliberals as peers within the transnational neoliberal network.

4. Neoliberal Developmentalism

4.1. Governing Without Elections: Neoliberals

Imposing Austerity for Development

When the Peruvian democratic regime was reestablished in the mid-1950s, neoliberals integrated their ideas into a development blueprint crafted by the Peruvian government. On August 10, 1956, Pedro Beltrán

44. See Buonnani (1952a; 1952b). Other pieces by Buonnani appeared in *La Prensa*, July 19, 26; August 2, 17, 1947.

45. Letter from Ferrero to von Mises, May 19, 1950, Von Mises Papers, series 1: General Correspondence, subseries 2, box 35, folder 7, Ludwig von Mises Archives, Grove City College.

46. Letter from Ferrero to von Mises, Jan. 5 and Nov. 26, 1953; Dec. 31, 1954, Von Mises Papers, series 1: General Correspondence, subseries 2, box 35, folder 7, items 4, 6, and 7, Ludwig von Mises Archives, Grove City College. In the last letter, Ferrero thanks von Mises for suggesting to *The Freeman*’s editor that he be offered a one-year subscription to the magazine.

47. See correspondence between F. A. Harper and Rómulo Ferrero, Jan. 30, 1971; Feb. 8, 1971; Apr. 29, 1971; May 10, 1971, Harper (F. A.) Papers, box 61, folder 30/Ferrero, Romulo A. 1971–1972, Hoover Institution, Stanford University.

was appointed head of the Commission for Land Reform and Housing for the government of conservative Prado Ugarteche (1956–62). The commission was supported by businessmen and the emerging managerial class, both of whom were concerned about the challenges posed by social unrest organized by indigenous communities, as well as workers (Sulmont 1977). Rómulo Ferrero took part in this commission, which aimed to “elaborate an integral plan for the diffusion of the small and medium scale property in urban and rural areas, the solution to the housing problem, and to implement any other measures looking to elevate living standards of the Peruvian people” (Comisión para la Reforma Agraria y la Vivienda 1960: 19). The commission also looked to “offer the majority of families the possibility to own a house to live in or plots of land that would enable them to become self-employed farmers.”⁴⁸ In prioritizing entrepreneurialism, the commission emphasized that “small and medium scale property would constitute the basis for the economic and social structure of the country” (*La Prensa*, Aug. 12, 1956). Under the influence of Beltrán’s market ideas, the commission produced the *Report on Housing* (Comisión para la Reforma Agraria y la Vivienda 1958; 1959), which included a microfinance plan (i.e., Mutual Savings and Loans Association) to construct housing projects based on self-help principles.⁴⁹ The goal of the *Report* was to increase the number of Peruvian homeowners, a measure referred to by the popular term *la casa propia* (the house of one’s own), without resorting to public housing (Collier 1975, 1976).

This idea aligned with the anticommunist stance promoted internationally by some members of the Mont Pèlerin Society and American politicians during the Cold War.⁵⁰ Following the paternalistic model of modernization shared by Baudin and the Peruvian elite, Beltrán framed his program as a way to “include” the poor in the modern economic system governed by the elites. This approach sought to encourage respect for *private property* (i.e., *popular capitalism*), while reducing the allure of communist ideas (Collier 1976: 78). Beltrán had previously discussed this

48. *Minutes of the Peruvian Cabinet—Manuel Prado Ugarteche (1956–1962)*, no. 4, Aug. 10, 1956, Biblioteca Central Pedro Zulen, UNMSM.

49. See *Virginian-Pilot*, Oct. 25, 1957, at the Beltrán-Kropp Collection. The self-help housing project was implemented with technical guidance from Chicago banker Morton Bodfish and Lawrence M. Cox, director of the Norfolk Redevelopment and Housing Authority.

50. In June 1958, Beltrán testified before the Subcommittee of Foreign Affairs of the US House of Representatives and warned of the threat of communism in Peru. See *Semanario Peruano*, June 15, 1958.

reformist social project with the US ambassador to Peru, Ted Achilles, as early as April 1958, when he denounced the establishment of a “Soviet” in Cusco amid protests sparked by the fiscal crisis (Sulmont 1980: 86).⁵¹

In his address “The American Family of Nations,” delivered at the Economic Club of New York on October 20, 1958, Beltrán argued that the US government should fund development projects like his to counter communist influence in the “Latin American neighborhood.”⁵² He also suggested that the “poorer brothers” of the Americas needed the aid of “private initiative” coming from the United States (Beltrán 1958: 9). In Beltrán’s view, such foreign aid would serve as a safeguard for the Western Hemisphere and foster a strategic community grounded in “Christian principles” (10). This aid, he argued, would provide capital that was inaccessible in underdeveloped economies, reduce governmental reliance on central bank financing to cover deficits, and ultimately promote economic growth and independence (8–9), contributing to a more peaceful global landscape.⁵³

During the years 1956–58, the Peruvian economy faced a new process of high inflation and rising public debt. Thus, Beltrán and the new editorial team of *La Prensa* provided a particular diagnosis of the Peruvian economic situation. This new team included lawyers and economists such as Enrique Chirinos Soto, Juan Zegarra Russo, Arturo Salazar Larraín, Álvaro Belaúnde y Belaúnde, and Manuel Aguirre Roca. Many of these members, educated at Peruvian universities, were affiliated with the recently founded Peruvian Christian Democratic Party, a political movement that supported the government and emerged from former members of the Peruvian Catholic Action (Rey de Castro 1985).⁵⁴ Several team members were inspired by Wilhelm Röpke’s ordoliberal ideas. For

51. Letter from Beltrán to the former US ambassador to Peru, Theodore Achilles, Apr. 15, 1958, Beltrán-Kropp Papers, Drexel Library, Saint Joseph’s University, Philadelphia.

52. See Pre-Presidential Papers of Richard M. Nixon, General Correspondence, 1946–1962, series 320, box 74, Beltrán, Pedro.

53. See Orvil Dryfoos Papers, Beltrán, Pedro (Mr. and Mrs.) 1948–1959, MssCol 17785, box 1, folder 8, the New York Times Company records, New York Public Library–Astor, Lenox and Tilden Foundation.

54. See also “La fundación de la Democracia Cristiana” in *El Peruano*, July 30, 1998. These former members of the Peruvian Catholic Action were guided by Catholic social teaching ideas influenced by the work of Jacques Maritain. They were also inspired by South American figures like Eduardo Frei Montalva of Chile and Rafael Caldera of Venezuela, with whom they engaged in Catholic lay organizations such as Pax Romana (Rey de Castro 1985: 126). Notably, some of these individuals had previously been part of the Frente Democrático Nacional, the party that was removed from power by Odría’s coup.

instance, Zegarra Russo drew on Röpke's *Civitas Humana* ([1940] 1948) in one essay published by *La Prensa* (Zegarra Russo 1958).⁵⁵

The *La Prensa* team emphasized the application of an anti-inflationist austerity shock as a crucial prerequisite for economic development. This approach aligned with Beltrán's Plan Integral del Perú (Peru's Integral Plan), which aimed to ensure "techo y tierra" (housing and land) for the populace (*La Prensa*, May 14, 1960).

La Prensa helped Beltrán to secure an appointment in government by publicizing his economic ideas and comparing him with Ludwig Erhard, the ordoliberal economist associated with the German economic miracle.⁵⁶ In March 1959, an article by *La Prensa* insisted that "while current economic conditions persist, and there is not improvement in public perspective towards the direction that public finance should take, the development of *private initiative* will still be affected by that lack of confidence. It is useless to equalize the trade balance if the domestic inflationist pressures are not tamed."⁵⁷ In June 1959, the editors of *La Prensa* published a column titled "Economía para el bienestar" ("Economics for Prosperity") to defend Beltrán's Plan Integral. Such a title mirrored that of the book published by Ludwig Erhard in 1957: *Wohlstand für Alle* (*Prosperity for All*).

As an outcome of the *La Prensa* campaign, President Prado Ugarteche appointed Beltrán as prime minister and minister of finance and commerce, a double role that resembled the one of Ludwig Erhard in Germany. Beltrán's new cabinet was inaugurated on July 20, 1959 (*Última hora*, July 21, 1959), after he had left the Commission for Land Reform and Housing and been replaced by the Christian Democrat senator and former director of finance in the years 1943–47, Ernesto Alayza Grundy.⁵⁸ On August 2, *La Prensa's* Sunday supplement *7 Días del Perú y del Mundo* (*7 Days in Peru and the World*) praised Beltrán's new appointment and called him a "hero of economic freedom."

Seizing the opportunity, *La Prensa's* editors highlighted the neoliberal nature of Beltrán's anti-inflation plan. On the day of the cabinet's

55. See *La Prensa*, July 20 to 30, 1953.

56. Ludwig Erhard, the minister of economic affairs and vice-chancellor of the Federal Republic of Germany, was also a prominent member of the Mont Pèlerin Society.

57. See *La Prensa*, Mar. 8, 1959.

58. Like Ferrero, Ernesto Alayza Grundy was a member of the Peruvian Catholic Action, as well as a faculty member at PUCP, where he chaired the Faculty of Economics from 1950 to 1957. Like the aforementioned Manuel B. Llosa, he was vice president of the Cerro de Pasco Corporation (1949–73).

inauguration, the newspaper published a supplement titled “Así piensa La Prensa” (“The Ideas of La Prensa”). The publication included Juan Zegarra Russo’s “Un diario con una Ideología” (“A Newspaper with an Ideology”), which emphasized that “LA PRENSA—it was said—represents a neo-liberal position” and denied the newspaper was either old-liberal or conservative (Zegarra Russo 1959; Aguirre Gamio 1962). In addition, *7 Días* published excerpts of congratulation letters from Beltrán’s neoliberal associates from America and Europe like Ludwig von Mises and Ludwig Erhard.⁵⁹ Other friends, like Henry Hazlitt, sent congratulatory letters expressing admiration for Beltrán’s efforts in fighting inflation, and Hazlitt took the opportunity to enclose a copy of his book, *The Failure of the “New Economics”: An Analysis of the Keynesian Fallacies* (1959), for review in *La Prensa*.⁶⁰

As minister, Beltrán’s objectives were to recover fiscal equilibrium, diminish inflation, and stabilize the national currency, asserting that workers and business owners had the same capacity to bear the austerity burden. On July 22, 1959, he urged citizens to “pay a quota of sacrifice” to solve the economic crisis and accept his austerity plan. In his discourse before a Peruvian TV audience, Beltrán called upon “retirees,” “blue- and white-collar workers,” and “agricultural, mining, and industrial entrepreneurs” to understand the government, which cannot impose price controls and “must solve the fiscal problem and stimulate production by all adequate and legal means” (Beltrán 1959).⁶¹ Later, Beltrán convinced the Peruvian Congress to implement a plan for monetary stabilization, saying that “it is not possible to exploit new sources of wealth, offer jobs to the increasing population, encourage domestic investment and attract foreign capital without attaining monetary stability.”⁶² On December 15, Beltrán publicized the outcome of his stabilization plan and announced a tax reform. On TV, he claimed that “genuine prosperity, that is, an effective improvement in living conditions, depends on monetary stability. Therefore, . . . the government conceives as its unavoidable duty an attack on the causes of inflation. And the main cause has been fiscal deficit, which simultaneously led to an increase in monetary issuances.”⁶³

59. See *7 Días del Perú y del Mundo*, Aug. 2, 1959.

60. Letter from Hazlitt to Beltrán, Dec. 18, 1959, Henry Hazlitt Archives Beta version, box B01 A–Br, Pedro Beltrán 1948–1982, Liberty Fund and Universidad Francisco Marroquín.

61. See *La Prensa*, July 23, 1959.

62. See *La Prensa*, Aug. 20, 1959.

63. See Beltrán’s “TV Address on Tax Reform,” Dec. 15, 1959, at the Beltrán-Kropp Collection.

4.2. The Peruvian Invention of a Neoliberal Blueprint for Intercontinental Development

In the meantime, Rómulo Ferrero, still serving as an adviser to the Commission for Land Reform and Housing, became the first Peruvian member of the Mont Pèlerin Society and, along with Eugenio Gudín (Brazil) and Gustavo Velasco (Mexico), one of the first Latin American members.⁶⁴ This milestone occurred on November 15, 1957, when Ferrero received an invitation from Friedrich Hayek to attend the society's meeting at Princeton in September 1958.

At Princeton, Ferrero delivered a lecture on inflation and monetary policy, arguing that high inflation hindered economic growth in underdeveloped Latin American economies—an idea that echoed Beltrán's stabilization plan.⁶⁵ He disagreed with development economists who viewed inflation as an inevitable step toward economic growth, countering that inflation undermines development by reducing investment rates (due to lower rates of return and decreased bond values) and depleting the bond market. Ferrero further suggested that the only viable approach to combating inflation in underdeveloped economies was “to preach and educate people about the evil of inflation.”⁶⁶ Additionally, Ferrero presented his critiques of structuralism and import-substitution industrialization. In response to Peter Bauer's article in *Fortune*, “Economic Growth and the New Orthodoxy,” Ferrero criticized the UN Economic Commission for Latin America (ECLA) and its study about industrial development in Peru (Ferrero 1959a). Ferrero said that ECLA's protectionism was wrong in saying that agriculture was economically inferior to manufacturing.⁶⁷ Like other neoliberals at Princeton, Ferrero argued that

64. Letter from Hayek to Ferrero, Nov. 15, 1957, and letter from Ferrero to von Hayek, Jan. 16, 1958, MPS/S/1513, box 73-30, folder Ferrero, Rómulo A., MPS records, Hoover Institution, Stanford University.

65. See *Mont Pèlerin Quarterly*, vol. 1, no. 1, April 1959; and Hoover Institution, MPS records, Sound Recordings 1956–1966, <https://digitalcollections.hoover.org/objects/52829>.

66. In collaboration with German Peruvian economist Bruno Moll, Ferrero published *La inflación: sus causas y sus peligros* (*Inflation: Its Causes and Dangers*), a study examining the causes and consequences of inflation (Ferrero 1954). This work was released by the Consejo Interamericano de Comercio y Producción, a member of the Inter-American Association of Chambers of Commerce.

67. According to Bauer (1958), the new orthodoxy posits that comprehensive planning and interventionism are essential for the economic development of poor countries, suppressing the so-called bourgeois virtues, namely, the entrepreneurial spirit of individuals, which he regarded as the primary source of development in those nations.

development economics should prioritize increasing agricultural productivity rather than diminishing the role of agriculture as a prerequisite for industrialization. He explained that import-substitution-industrialization would impede the transformation of foreign profits into capital inflows that could benefit domestic markets. In addition, Ferrero aimed to establish a free trade area in the Americas that could absorb the commodities produced in the region.

Ferrero's ideas on inflation and development were later popularized among transnational neoliberalism. *The Freeman* magazine summarized his ideas in the article "Inflation in Underdeveloped Countries—a Luxury the People Can Ill Afford" (Ferrero 1959b), and in April the *Mont Pèlerin Quarterly* circulated his arguments at the Princeton conference among the membership of the Mont Pèlerin Society (Ferrero 1959d).

In implementing neoliberal development ideas, Pedro Beltrán succeeded in balancing the Peruvian government budget, which enabled him to promptly request additional American foreign aid to support production and social projects. In June 1960, Beltrán visited President Eisenhower at the White House to negotiate new US credit lines through the Export-Import Bank (totaling \$51.2 million) and the Development Loan Fund (\$2 million). The latter was allocated to the Peruvian Mutual Savings and Loans Association, the institution that became the primary financial channel for Beltrán's self-help housing initiative.⁶⁸ Beltrán seemed to persuade Eisenhower that development loans could effectively support the lower-income classes across the Americas and counter the influence of so-called Cuban Castroism. As evidence of this alignment, Eisenhower responded positively in their conversation, affirming that "man must be given an opportunity for both spiritual and material development."⁶⁹

These principles later shaped the US Alliance for Progress, creating an avenue for Peruvian neoliberals to pursue the developmental and political goals of Latin American elites. In March 1961, Pedro Beltrán gave a speech at UCLA Law School, urging the US government to step forward and to provide financial aid for "protecting the hemisphere" from Cuba's influence (Beltrán 1961). By August of that year, President Kennedy said

68. Memorandum for the President, July 26, 1960, Department of State, Dwight D. Eisenhower Papers as President of the United States, 1953–61 (Ann Whitman File), box 40, Peru (I), Eisenhower Presidential Library, US National Archives.

69. Memorandum of Conversation, June 9, 1960, Department of State, Dwight D. Eisenhower Papers as President of the United States, 1953–61 (Ann Whitman File), box 40, Peru (I), Eisenhower Presidential Library, US National Archives.

that “free nations meet the human and material problems of the modern world.” Kennedy seemed to address Beltrán’s appeal when he announced that the United States would support Latin American development at the Inter-American Conference in Punta del Este, Uruguay, committing over \$20 billion to the Alliance for Progress. At the conference, Beltrán was elected as the representative of the Latin American delegates to the United States, a position he used to influence the policies of the Alliance for Progress.⁷⁰ He urged fellow delegates to draft what was titled a “Declaration of the Peoples of the Americas,” specifying that only countries with a democratic regime would qualify for foreign aid. This strategic move effectively blocked Cuba from receiving US aid through the alliance, aligning the program with anticommunist objectives shared by the United States and Latin American neoliberal leaders.⁷¹

The Alliance for Progress incorporated land reform as a key redistributive policy. While land reform had been a long-standing topic of discussion in Peru, it gained prominence in development plans promoted by neoliberals advocating for a *social market economy*—also known as ordoliberalism, a “third way” system positioned between capitalism and communism. This approach was partly shaped by members of the Peruvian Christian Democratic Party, who participated in the Commission for Land Reform and Housing, with many also serving as faculty at the Pontificia Universidad Católica del Perú. These technocrats connected Beltrán’s Plan Integral with ordoliberal ideas, drawing on Catholic social teaching to frame the reform as a pathway to promoting private ownership in alignment with the “common good” (Pius XI 1931).

In 1960, the Commission for Land Reform and Housing produced a Bill Draft for Land Reform and published the technical report *La reforma agraria en el Perú (Land Reform in Peru)*, a topic that had been discussed by Christian Democrats globally since the 1940s.⁷² As head of the commission, the Christian Democrat Ernesto Alayza Grundy signed the document and sent it to the Institute for Land Reform and Colonization, directed by Rómulo Ferrero, another Christian Democrat

70. See *Southern Illinoisan*, Aug. 6, 1961.

71. See *New York Times*, Aug. 15, 1961.

72. *La reforma* cited Pius XII, who notably became the first pope to refer to land reform in his speech “Rural Life in Italy” on November 15, 1946. Land reform had been a subject of debate within Catholicism since the early twentieth century, particularly during the conflicts between the rural leagues led by the Italian Socialists, and the Italian Catholic Action (Agócs [1988] 2017).

and faculty member at the Pontificia Universidad Católica del Perú. These technocrats hailed their Bill Draft as the first one to be designed in a “non-ideological” and “non-partisan” manner (Comisión para la Reforma Agraria y la Vivienda 1960: 20). The blueprint aimed to increase agricultural productivity and enhance agriculture land markets to reduce property concentration. The proposed Bill Draft indicated that land must be “redistributed” according to *private initiative* without state intervention (60).

In contrast to proponents of land expropriations for land reform, *La reforma* reflected the views of Peruvian intellectuals like Ferrero, who perceived land reform as a process of internal colonization (Ferrero 1939). While radical land reformers promoted nonmonetary forms of agricultural production and collective ownership, Ferrero argued for enhancing land productivity to meet the needs of Peru’s growing population (Ferrero 1938). For Ferrero (1936), land reform involved modernizing agricultural production under a monetary rent system, which he believed was more convenient than a fixed in-kind rent system. Drawing on his professional experience and the agricultural economics works of Henry Taylor, Ferrero emphasized that a monetary rent agricultural economy would align the interests of producers, landlords, and the nation, fostering higher productivity and a more efficient allocation of resources.

As member of the Commission for Land Reform and Housing, Ferrero denied that land reform was solely about land redistribution; instead, he prioritized agricultural modernization and property rights. He cited the Italian experience to argue that land reform is “an integral process for which land was not only expropriated and divided into small holdings [*chacras familiares*], but that implied the material transformation of land by means of investment to improve its quality” (Ferrero 1959c: 26). He also echoed Baudin’s historical narrative about the Incas to say that after the Peruvian independence, liberal politicians had not legally recognized Indigenous communities, the residual of the *ayllu* structure dominated by the Incas’ collectivism, as property owners (Ferrero 1962: 33).⁷³ Consequently, these communities remained subjected to the political power of large landowners (*hacendados*). Therefore, Ferrero claimed that *La reforma* and the Bill Draft for Land Reform had fostered cooperation

73. Of pre-Inca origin, *ayllu* is a Quechua word referring to a land-owning social unit of households grouped by kinship ties. See n. 5.

between landowners—who would engage in land redistribution on their own initiative—and tenants, including Indigenous communities, thereby promoting medium- and small-size holdings (36).

4.3. Peruvian Neoliberalism Meets German Ordoliberalism

Beltrán, Ferrero, and their allies successfully positioned Peru as the sole Latin American economy that had not adopted import-substitution-industrialization by the 1960s. The international media celebrated the Peruvian developmentalist experience as a model for austerity and free-market principles that underdeveloped economies should emulate. The *New York Times*, which maintained ties with *La Prensa*, featured an article titled “Beltrán’s Confidence Aids Peru Back to the Path of Recovery” on January 13, 1960. On January 15, 1961, the same newspaper praised the outcomes of the austerity policies implemented by the Peruvian government. The *Oakland Tribune* highlighted Beltrán’s success in persuading the Peruvian Congress to adopt austerity measures, portraying him as a “non-partisan” newspaper editor leading “Peru’s experiments in austerity” (*Oakland Tribune*, Apr. 5, 1960). Similarly, *Time* magazine referred to Beltrán as the “poor man’s conservative” (*Time*, Apr. 11, 1960). Notably, the French neoliberal François Bondy labeled Beltrán “the Peruvian Erhard” (*La Prensa*, Apr. 3, 1961), underscoring the effective link between Beltrán’s neoliberalism and the successes of ordoliberal figures Ludwig Erhard and Wilhelm Röpke, who were credited with the so-called German economic miracle of the 1950s, as portrayed in the international media.

For the members of the German Christian Democratic Union and neoliberals abroad, Peru served as a significant example of ordoliberal policy-making within an underdeveloped economy. This international audience observed in Beltrán’s Plan Integral and the actions of the Commission of Land Reform and Housing a manifestation of ordoliberal principles—a synthesis of a market economy and a social welfare program rooted in anticollectivism (i.e., anti-Marxist and anti-Keynesian). Likewise, the concept of a social market economy resonated with a segment of the Peruvian Christian Democrats, who sought a “third way” solution to address the country’s economic challenges.

Wilhelm Röpke, adviser to the German Christian Democratic Union, leading figure of ordoliberalism, and then vice president of the Mont

Pèlerin Society, visited Lima independently as part of a South American tour in 1960.⁷⁴ Since the 1950s, Röpke had developed an interest in development economics, aligning against MIT's modernization theory, Keynesianism, and ECLA's structuralism, much like Rómulo Ferrero (Röpke 1953; Bracarense 2012). Together with his friend and Mont Pèlerin Society secretary, Swiss banker Albert Hunold, Röpke took an interest in the ideas and policy initiatives of South American intellectuals like Pedro Beltrán and Ferrero (Solchany 2015; Slobodian 2018).

Röpke expressed admiration for the developmentalist policies spearheaded by Beltrán, praising them for their foundation in monetary stability and market economy principles (Röpke 1960). Röpke saw Beltrán's approach as a path to welfare through "democratic means," though he overlooked Beltrán's involvement in the 1948 Odría coup. Röpke also resonated with Beltrán's opposition to Soviet planning and ECLA structuralism, which marked Peru as a distinctive case for applying ordoliberal principles in Latin America.⁷⁵

Just as Ludwig von Mises's visit had done, Wilhelm Röpke's trip provided neoliberals associated with *La Prensa* an opportunity to persuade Peruvian Christian Democrats and the wider public that Beltrán's policies replicated the German economic miracle. *La Prensa* launched a substantial campaign to promote Beltrán's ideas, framing them as inspired by the social market economy. In doing so, *La Prensa* aimed to publicize the ideological foundations of the neoliberal development blueprint. This marked a significant moment in Peruvian economic history, as it was the first time ordoliberalism gained notable public attention and traction in the country.

In March 1960, Beltrán's newspaper started publishing a regular column titled "Una economía para el hombre" ("An Economy for Man"), echoing the title of Röpke's 1958 book, *A Humane Economy* (Röpke [1958] 1960).⁷⁶ Aimed at Peruvian Christian Democrats, the column

74. Röpke used the opportunity to visit Argentina, Peru, and Venezuela. See *Frankfurter Allgemeine Zeitung*, June 4, 1960. The purpose of this tour was to advocate for the creation of the Forum Atlanticum, an alternative to the Mont Pèlerin Society.

75. Slobodian (2014: 79) follows Hennecke (2005: 219) and notes Röpke's awareness of Beltrán's work before his South American tour. Slobodian's piece acknowledges the role of Latin American publishers in promoting Röpke's works, including the Peruvian Pedro Beltrán.

76. The first installment of the column was published on March 10, 1960, with the title "Las palabras y los hechos" ("Words and Facts"), criticizing the stance of proponents of collectivist planning.

asserted that Beltrán's ideas were rooted in a social-Christian agenda. Additionally, the newspaper praised free-market planning, the ordoliberal method for development, while denouncing collectivism and comprehensive planning as pathways to a "totalitarian, anti-Christian and Sovietized society."⁷⁷ After this campaign, *La Prensa* announced on March 19 that Röpke would visit Lima later that month.⁷⁸

When Röpke arrived in Peru on March 28, 1960, the newspaper introduced him as a champion of "free enterprise thought" and reported that his visit was backed by the Consejo Económico Consultivo Suizo-Peruano (Swiss Peruvian Economic Advisory Council).⁷⁹ The council invited Röpke by suggestion of Max Reiser, a Swiss Peruvian businessman, financier, and president of the business association CONACO. Reiser would have convinced the members of the council to do this for three reasons. First, Röpke had been known as an important economic expert in Swiss circles since 1937, when he became faculty at the Graduate Institute of International Studies at Geneva. Likewise, Reiser was an acquaintance of both Röpke and Albert Hunold, who was the chair of the Swiss Institute for International Studies by that time. Also, Reiser was an associate of Beltrán in the Impresora Perú-Helvética S.A., a firm that started to print the newspaper *La Prensa* in 1960.

On March 29, 1960, *La Prensa* published statements from Röpke regarding the importance of monetary stability as a prerequisite for economic development and social justice, as well as his criticisms of economic controls during an interview at the Country Club Hotel.⁸⁰ The following day, the newspaper reported on Röpke's lecture titled "The Market Economy and Economic Development," delivered at the Lima Chamber of Commerce, a prominent Peruvian business association. Introduced by Rómulo Ferrero, the chamber's economic adviser, Röpke condemned collectivism and commended the Peruvian government for its anti-inflationary measures and the *freedoms* it fostered. To encapsulate Röpke's views, *La Prensa* published his article "Sobre la libertad económica" ("On Economic Freedom"). The next day, the newspaper

77. See *La Prensa*, Mar. 30, 1960.

78. See *La Prensa*, Mar. 19, 1960. The heading's title referred to Röpke as the "leader of the free economy."

79. See *La Prensa*, Mar. 29, 1960.

80. See *La Prensa*, Mar. 30, 1960. The article presented critiques of the newspaper *El Comercio* for supporting price controls and protectionist policies.

covered Röpke's second lecture at the Banco Central de Reserva del Perú, titled "Monetary Stability and Economic Development."⁸¹

Despite *La Prensa*'s enthusiastic endorsement of Röpke's ideas, its coverage encountered substantial opposition from technocrats writing for *El Comercio*, a newspaper that championed planning and the so-called collectivist approach to economic governance. During this period, *El Comercio*, which Beltrán criticized as an "anti-liberal" newspaper, represented the pro-industrialist faction within the capitalist class (Beltrán 1960). This newspaper published a series of columns disputing *La Prensa*'s inflated claims regarding Röpke's influence on the German economic miracle. These articles critiqued Röpke's views on structural change and planning, as well as his eclecticism and the lack of empirical support for his assertions.⁸² *La Prensa* maintained its defense of ordoliberalism, publishing articles that championed freedom as the cornerstone of Western civilization while attacking the comprehensive planning advocated by *El Comercio*.⁸³ The newspaper included excerpts from Röpke's *Civitas Humana* in both its main edition and its Sunday supplement, *7 Días del Perú y el Mundo*, to emphasize the German economist's commitment to a system of "reborn liberalism . . . , a true consumer democracy."⁸⁴ In a show of desperation, *La Prensa*'s chief editor, Álvaro Belaúnde, urged Röpke to join the debate by submitting an article that directly addressed the criticisms from *El Comercio*.⁸⁵ However, a dispassionate Röpke merely encouraged Belaúnde to continue publishing excerpts from his works in *La Prensa*, particularly the Spanish translation of *A Humane Economy*.⁸⁶

Despite this opposition to ordoliberalism, Röpke's visit helped strengthen ties between Peruvian neoliberals and the Mont Pèlerin

81. See *La Prensa*, Mar. 29 and Mar. 31, 1960.

82. See *El Comercio*, Mar. 31, Apr. 1, Apr. 4, and Apr. 5, 1960. The critiques published in *El Comercio* were authored by economists such as Jorge Bravo Bresanni and Gregorio Garayar, who were proponents of modernization theory.

83. See *La Prensa*, Apr. 1, 6, 7, and 11, 1960.

84. See *7 Días del Perú y del Mundo*, Apr. 3, 1960; and *La Prensa*, Apr. 3, 1960.

85. Letter from Belaúnde y Belaúnde to Röpke, Apr. 8, 1960, Wilhelm Röpke Papers, folder 19, p. 60, Nachlass-Archiv Wilhelm Röpke & Alfred Kruse, Bibliothek des Institut für Wirtschaftspolitik an der Universität zu Köln.

86. Letter from Röpke to Belaúnde y Belaúnde, May 21, 1960, Wilhelm Röpke Papers, folder 19, p. 59, Nachlass-Archiv Wilhelm Röpke & Alfred Kruse, Bibliothek des Institut für Wirtschaftspolitik an der Universität zu Köln.

Society. On April 23, 1960, Röpke invited Pedro Beltrán to attend the society's conference in Kassel, Germany, scheduled for September, and informed him that he would propose his affiliation before the attendees of the meeting.⁸⁷ However, only Rómulo Ferrero attended, joining Peter Bauer and Louis Rougier to discuss underdeveloped economies (Plehwe 2009).⁸⁸ Ultimately, Beltrán confirmed his affiliation with the Mont Pèlerin Society on October 24, 1960.⁸⁹ A week later, Röpke replied to that letter, taking the opportunity to ask Beltrán to publish a blurb for his *A Humane Economy* in the Peruvian newspaper *La Prensa*. Röpke also mentioned that he had recently met the Peruvian Rómulo Ferrero in Geneva.⁹⁰ Contra Solchany (2015), these exchanges exemplify the equal treatment between Peruvians and international neoliberals.

Conclusion

To historicize neoliberalism generally means examining the political and economic determinants that shape economic thought and policy. Such an exploration moves beyond a purely analytical history of economic doctrines, such as those of the Austrian or Chicago schools of economics. Accordingly, in this article, I have drawn on a variety of historical sources to better understand the ideas and actions of Peruvian policymakers and intellectuals who embodied the complexities of Latin American neoliberalism from the 1930s to the 1960s.

In analyzing the Peruvian case, I have introduced new elements to the historiography of neoliberalism in Latin America. The study of Peruvian neoliberalism represents an early instance of neoliberalism in South America and provides the first historical example—Odría's 1948 coup,

87. Letter from Röpke to Beltrán, Apr. 23, 1960, Wilhelm Röpke Papers, folder 19, p. 61, Nachlass-Archiv Wilhelm Röpke & Alfred Kruse, Bibliothek des Institut für Wirtschaftspolitik an der Universität zu Köln.

88. List of Participants for the Meeting from Sept. 5–10, 1960, at Wilhelmshöhe, Kassel, Germany, Wilhelm Röpke Papers, folder Mont. Pelerin Society, pp. 31–38, Nachlass-Archiv Wilhelm Röpke & Alfred Kruse, Bibliothek des Institut für Wirtschaftspolitik an der Universität zu Köln.

89. Letter from Beltrán to Röpke, Oct. 24, 1960, Wilhelm Röpke Papers, folder 19, p. 55, Nachlass-Archiv Wilhelm Röpke & Alfred Kruse, Bibliothek des Institut für Wirtschaftspolitik an der Universität zu Köln.

90. Letter from Röpke to Beltrán, Oct. 31, 1960, Wilhelm Röpke Papers, folder 19, p. 54, Nachlass-Archiv Wilhelm Röpke & Alfred Kruse, Bibliothek des Institut für Wirtschaftspolitik an der Universität zu Köln.

supported by Pedro Beltrán and Rómulo Ferrero—of an authoritarian regime endorsing free-market policies prior to Pinochet's 1973 coup in Chile. Additionally, Peru's neoliberal developmentalist policies from 1956 to 1961 marked a neoliberal continuity, which demonstrates that implementing the neoliberal model in a Latin American economy did not always require a coup d'état; rather, it often relied on softer strategies, such as media influence, political propaganda, and policy initiatives.

To understand the persistence of the export-led development strategy in the Andean region during the postwar period, the trajectory of Peruvian neoliberalism before the 1970s clarifies why this South American political economy resisted the influence of ECLA's structuralist policies. The dominance of neoliberals in government and the public sphere further explains why Peruvian economists promoting modernization theory and structuralism were unable to establish a successful, hegemonic policy agenda before 1968. Ultimately, this analysis contributes to the literature on the connections between Peruvian neoliberals and the transnational thought collective of the Mont Pèlerin Society, a topic that has yet to be explored in depth.

In these pages, I have argued that neoliberalism is not merely a policy view passively adopted by intellectuals in the Latin American periphery from the capitalist core. Instead, this article presents an alternative narrative, framing the introduction of neoliberal ideas in a South American context from the 1930s to the 1960s as a transnational process. This perspective reveals intellectual exchanges flowing from the periphery (Peru) to the core (the United States, Germany) and within the periphery itself. This narrative underscores the role of domestic actors in disseminating neoliberal concepts through a complex set of transmission mechanisms, including academic production, participation in transnational policy and intellectual networks, and public interventions through media and political debate.

Although the term *neoliberalism* arrived in Peru through the intervention of the French economist Louis Baudin, the actual institutions and practices of neoliberal austerity were enacted by Beltrán, Ferrero, and other technocrats from business associations prior to Baudin's public appearance. This development stemmed from their experiences during the Great Depression and World War II. Additionally, this article illustrates how Baudin's ideas and those of other Mont Pèlerin Society intellectuals were influenced by the political economy discussions occurring in Peru. While Peruvian neoliberals invited intellectuals like Hazlitt, von

Mises, and Röpke to Peru because of their esteemed reputations, archival evidence indicates that they strategically leveraged these visits to legitimize their policies within the Peruvian public sphere and to indirectly promote their own policy views as economic successes to both neoliberal and nonneoliberal international audiences. This evidence challenges traditional views of critical scholars who emphasize the hierarchical and dependent interaction between international neoliberals and their Latin American counterparts.

Specifically, this article highlights the significant role of neoliberalism in shaping the reality of the Peruvian political economy, presenting a unique case in Latin America. The historical evidence demonstrates that the Peruvian neoliberals were active economic proponents, dedicated to articulating their ideas and identifying themselves explicitly as neoliberals. Consequently, adopting a historical approach to study the Peruvian neoliberal thought collective offers valuable insights on the long-term economic and political developments of twentieth-century Peru. This perspective is often overlooked by historians and social scientists owing to methodological limitations. The years from 1940 to 1960 are frequently disregarded by economic historians, who tend to focus on the nineteenth and early twentieth centuries, and by social scientists, who view the policy developments of this period as outdated. Additionally, Peruvian historians often adhere to traditional narratives that posit neoliberalism as emerging solely during dictatorial regimes, perpetuating the “Pinochet” figure to illustrate the origins of neoliberalism in Latin America.

In this article, the operationalization of the concept of *waves of neoliberalization* presents two significant methodological contributions to the study of economic ideas and actions. First, employing the concept of *neoliberalization* allows for the identification of continuities between the historical evolution of neoliberal ideas and their concrete manifestations in institutions, which also transform over time. Historians of neoliberalism can thus adopt a dynamic model that portrays the actualization of ideas as a feedback loop, wherein ideas inform structures and, in turn, structures shape the evolution of ideas. This model encompasses three distinct phases: (i) the introduction of neoliberal ideas to various audiences (e.g., at the Pontificia Universidad Católica del Perú, the Peruvian Congress, and among readers of *La Prensa*); (ii) the enactment of those ideas by neoliberals through specific institutions and policies (e.g., the liberalization of exchange rates to establish a free-market order); and (iii) the renovation and updating of neoliberal ideas in response to changes in

structures due to both endogenous and external processes (e.g., the adoption of a *self-help* development model aimed at fostering a form of popular capitalism).

Finally, the concept of *waves* allows us to reconstruct the trajectory of neoliberal ideas over time, enabling us to trace the genealogies of the discourses and policies. While these may vary in their institutional manifestations across different waves, they retain their foundational principles. This is evident in the contributions made by Peruvian neoliberals to the concept of austerity and in the design of redistributive policies grounded on neoliberal principles, such as *private initiative* (i.e., *self-help* development). This persistence explains the resilience of neoliberal ideas, institutions, and practices in economic policy in Peru during the 1930s to the 1960s. Ultimately, the concept of *waves* helps to identify chronological periods, which can be useful for analyzing phases of distributive conflict and growth.

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